

The Resource Curse and the Tragedy of the Commons in Norway

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Abstract

Norway is often treated as the canonical counterexample to the resource curse. This paper argues that Norway has not so much falsified the resource-curse hypothesis as transformed the domain in which the curse operates. Domestically, strong institutions, high tax capacity, transparency, the Government Pension Fund Global (GPF), and a fiscal rule have converted petroleum rents into diversified financial wealth. Yet common-pool dilemmas persist in three linked arenas: petroleum extraction and the atmospheric commons, fisheries and aquaculture in marine commons, and geopolitical energy-security bargaining with Europe. The paper develops a formal political-economy model of rent capture, sovereign-wealth accumulation, Dutch-disease pressure, common-pool overuse, and institutional constraints. It then proposes econometric, causal-inference, and machine-learning designs for testing whether Norway has escaped, mitigated, or displaced the resource curse. The central result is a conditional one: Norway avoids the classic domestic curse when institutional quality is high and the resource rent is converted into globally diversified claims, but the tragedy of the commons reappears whenever ecological externalities or geopolitical benefits are not priced into private or national decision rules.

The paper ends with “The End”

Keywords: resource curse, tragedy of the commons, Norway, petroleum, sovereign wealth fund, GPF, Dutch disease, fisheries, aquaculture, climate externalities, EITI, fiscal rule, common-pool resources, causal inference.

Contents

1 Introduction	2
2 Stylized Facts	2
3 Conceptual Framework	3
3.1 The resource curse	3
3.2 The tragedy of the commons	3
4 Norway’s Institutional Production Function	4
4.1 A neutral petroleum tax	4
5 Dutch Disease as a Relative-Price Mechanism	5
6 Finance: Converting Oil into a Global Portfolio	5
6.1 A simple risk decomposition	6
7 Political Science: Rentierism without Petro-Authoritarianism	6
8 Geopolitics and International Relations	6
9 Commons in Fisheries and Aquaculture	7
10 Statistics and Econometric Identification	7
10.1 Panel design	7
10.2 Causal graph	8
10.3 Double machine learning	8
11 Algorithmic Research Design	9
12 AI/ML Extensions	9

13 A Unified Welfare Model	9
14 Policy Analysis	10
15 Discussion	10
16 Conclusion	10

List of Figures

1	GPFG asset allocation at end-2025. Source values from Norges Bank Investment Management. .	5
2	Norway converts the domestic resource curse into a governed fiscal-financial problem, while ecological and geopolitical commons remain only partially internalized.	6
3	A causal graph for Norway’s resource-curse problem. Pre-oil state capacity confounds the relationship between petroleum rents and modern outcomes.	8

List of Tables

1	Norway: petroleum, public finance, and commons-relevant indicators	3
2	Commons mechanisms in Norway	7
3	Algorithm 1: Diagnosing whether Norway escaped or displaced the resource curse	9
4	Mechanisms of curse mitigation and remaining tensions	10
5	Empirical hypotheses	13

1 Introduction

The phrase “resource curse” names a statistical and political-economy regularity: countries with abundant point-source natural resources often exhibit slower long-run growth, weaker institutions, greater rent-seeking, higher conflict risk, and lower diversification than comparable countries without such rents [18, 9, 17, 20]. The “tragedy of the commons” names a mechanism: when individually rational agents exploit a rival but imperfectly excluded resource, the Nash equilibrium generates excessive extraction relative to the social optimum [7, 16]. Norway is analytically interesting because it joins these two literatures while disrupting their simplest predictions.

Norway discovered and developed major offshore petroleum resources without becoming a petro-authoritarian state, without dismantling the welfare state, and without obvious macroeconomic collapse. Instead, it built a fiscal architecture in which petroleum rents are taxed, saved, and invested abroad through the Government Pension Fund Global (GPFG). This institutional design limits domestic absorption, reduces exchange-rate and wage pressures, and turns an exhaustible subsoil asset into a globally diversified financial asset. However, the Norwegian case is not a simple triumphal narrative. It is better read as a controlled transformation of the curse: domestic fiscal capture is strong, but ecological and geopolitical externalities remain.

The paper advances four claims.

1. Norway has largely escaped the *domestic fiscal-political* resource curse through high institutional quality, transparent revenue reporting, a neutral petroleum tax, state participation through the State’s Direct Financial Interest (SDFI), and the GPFG.
2. Norway remains exposed to *structural dependence*: petroleum is still macroeconomically and geopolitically significant, and the offshore sector shapes exports, public revenues, technological specialization, and regional employment.
3. The tragedy of the commons appears less in Norwegian budget management than in cross-border and intertemporal commons: climate, marine ecosystems, wild salmon, coastal fisheries, and European energy security.
4. The correct empirical question is therefore not whether Norway is “cursed” or “uncursed”, but whether rents are internalized at the same spatial and temporal scale at which costs are produced.

2 Stylized Facts

Table 1 summarizes the empirical anchors used in this paper. The point is not that Norway is petroleum-dependent in the same way as fragile petro-states. Rather, it is that a high-capacity democracy can be simultaneously an institutional success, a financial innovator, and a contributor to common-pool stress.

Table 1: Norway: petroleum, public finance, and commons-relevant indicators

Indicator	Recent value	Interpretation
Oil and gas share of total government revenue, total exports, and GDP in 2024	About 32%, 48%, and 22%, respectively	Resource rents remain macroeconomically central even in a diversified welfare state [3].
Estimated net government cash flow from petroleum	NOK 656 billion in 2025; NOK 521 billion in 2026	Petroleum still finances a large public-sector balance sheet [14].
Combined marginal petroleum tax rate	78%	High rent capture under a neutral tax design [15].
GPFG value at end-2025	NOK 21,268 billion	Exhaustible petroleum wealth has been converted into a large diversified financial portfolio [10].
GPFG end-2025 asset allocation	71.3% equities; 26.5% fixed income; 1.7% unlisted real estate; 0.4% renewable infrastructure	Diversification shifts petroleum-price risk into global market risk [10].
Oil and gas export value in 2025	About NOK 1,000 billion; 57% of Norwegian goods exports	Export concentration remains material [13].
Norwegian gas exports to EU and UK in 2024	Equivalent to more than 30% of total EU plus UK gas consumption	Norway is a central European energy-security actor [13].
Transparency architecture	EITI mainstreaming and systematic public disclosure	Reduces information rents and strengthens accountability [12].
Fisheries governance	TACs, vessel licences, quota controls, and individual vessel quota arrangements	A regulatory response to open-access overharvesting [4].

3 Conceptual Framework

3.1 The resource curse

Let Y_{it} denote real income per capita in country i at time t , S_{it} the resource-rent share of GDP, and I_{it} institutional quality. A reduced-form resource-curse regression is

$$\Delta \log Y_{it} = \alpha_i + \lambda_t + \beta S_{it} + \gamma I_{it} + \delta(S_{it}I_{it}) + X'_{it}\theta + \varepsilon_{it}. \quad (1)$$

The naive curse hypothesis is $\beta < 0$. The institutional-contingency hypothesis is $\beta < 0$ and $\delta > 0$, meaning that institutions attenuate or reverse the adverse effect of resource intensity.

In Norway, S_{it} is high for petroleum, but I_{it} is also high. Hence Norway is not an outlier that invalidates equation (1); it is a high- I case in which the marginal effect

$$\frac{\partial \Delta \log Y_{it}}{\partial S_{it}} = \beta + \delta I_{it} \quad (2)$$

may be non-negative even when $\beta < 0$ for low-institution settings.

3.2 The tragedy of the commons

A common-pool resource is defined by rivalry and costly exclusion. Let $x_j \geq 0$ be extraction by agent $j \in \{1, \dots, n\}$, $X = \sum_{j=1}^n x_j$, inverse benefit $p(X)$, private cost $c(x_j)$, and ecological damage $D(X)$ with $D'(X) > 0$ and $D''(X) \geq 0$. Agent j solves

$$\max_{x_j \geq 0} \pi_j = p(X)x_j - c(x_j), \quad (3)$$

whereas a planner solves

$$\max_{x_1, \dots, x_n \geq 0} W = p(X)X - \sum_{j=1}^n c(x_j) - D(X). \quad (4)$$

The missing term in the private first-order condition is the external marginal damage $D'(X)$ and, under market power or biological congestion, the effect of one extractor's effort on all others.

Proposition 1 (Open-access overuse). *Suppose $p'(X) \leq 0$, $c'(x) > 0$, and $D'(X) > 0$. In a symmetric interior Nash equilibrium with $n \geq 2$, total extraction X^N exceeds the planner's extraction X^* whenever the planner's second-order condition is satisfied and the private equilibrium is stable.*

Proof. In a symmetric Nash equilibrium, agent j takes x_{-j} as given and satisfies

$$p(X^N) + p'(X^N)x_j^N = c'(x_j^N). \quad (5)$$

A symmetric social optimum satisfies

$$p(X^*) + p'(X^*)X^* = c'(X^*/n) + D'(X^*), \quad (6)$$

where symmetry gives $x_j = X/n$. Since $X^* = nx_j^*$, the planner internalizes the inframarginal price effect on all units, $p'(X)X$, and the ecological damage $D'(X)$. The private agent internalizes only $p'(X)x_j$. For $n \geq 2$, $p'(X)X \leq p'(X)x_j$ because $p'(X) \leq 0$, and $D'(X) > 0$ further lowers optimal extraction. Thus at any common X , the private marginal return exceeds the social marginal return. Under the assumed stability and concavity conditions, the Nash crossing occurs at a larger X than the planner crossing: $X^N > X^*$. $\square$

Norway's policy architecture can be read as a sequence of mechanisms for changing this game: licensing, TACs, vessel quotas, petroleum taxation, environmental taxes, the GPFPG, public disclosure, and parliamentary oversight all attempt to replace open access with governed access.

4 Norway's Institutional Production Function

Let resource rents be

$$\Pi_t = (P_t - MC_t)Q_t, \quad (7)$$

where P_t is the petroleum price, MC_t marginal extraction cost, and Q_t output. Let τ_t be the public capture rate, B_t ordinary non-oil revenue, G_t primary expenditure, W_t GPFPG wealth, and r_{t+1} the fund return. A simplified government resource budget is

$$R_{t+1} = R_t - Q_t, \quad (8)$$

$$W_{t+1} = (1 + r_{t+1})[W_t + \tau_t \Pi_t + B_t - G_t]. \quad (9)$$

The fiscal rule can be represented as

$$G_t - B_t \leq \rho W_t, \quad \rho \approx 0.03, \quad (10)$$

where $G_t - B_t$ is the structural non-oil deficit and ρ is the expected real return guideline.

Proposition 2 (Sovereign-wealth sterilization). *If petroleum rents are saved abroad through W_t and domestic spending satisfies equation (10), then the domestic absorption of a temporary petroleum price shock is bounded by the change in the permanent-income value of the fund rather than by the contemporaneous rent shock.*

Proof. Let a transitory price shock be ΔP_t and the induced rent shock be $\Delta \Pi_t = Q_t \Delta P_t$. Without sterilization, the change in feasible domestic expenditure can be as large as $\tau_t \Delta \Pi_t$. Under the fund rule, the shock increases W_{t+1} by approximately $(1 + r_{t+1})\tau_t \Delta \Pi_t$, but spending in the next period rises by at most

$$\Delta G_{t+1} \leq \rho(1 + r_{t+1})\tau_t \Delta \Pi_t. \quad (11)$$

Since $\rho \approx 0.03 \ll 1$, domestic absorption responds to the annuity value, not the full contemporaneous windfall. $\square$

4.1 A neutral petroleum tax

A rent tax is neutral if it taxes only pure rent and leaves the ranking of projects unchanged. Let project k have pre-tax net present value

$$NPV_k = \sum_{t=0}^T \frac{P_t Q_{kt} - C_{kt} - I_{kt}}{(1+r)^t}. \quad (12)$$

Under a cash-flow tax with rate $\tau \in (0, 1)$ and full symmetric treatment of gains and losses, after-tax value is

$$NPV_k^A = (1 - \tau)NPV_k. \quad (13)$$

Thus

$$NPV_k > 0 \iff NPV_k^A > 0. \quad (14)$$

This is the logic behind neutral rent taxation: the state captures a high share of rent without changing the invest/do-not-invest decision at the margin.

Corollary 1. *If Norway's petroleum tax is approximately neutral and if the state has credible fiscal capacity, then high public rent capture need not imply low efficient investment. Instead, it shifts the distribution of rents from licensees to the public balance sheet.*

5 Dutch Disease as a Relative-Price Mechanism

Let the economy have tradables T , non-tradables N , and petroleum O . Labor is mobile domestically, and the nominal exchange rate is e_t . A petroleum boom increases national income and raises demand for non-tradables. If P_N/P_T rises, labor moves away from non-oil tradables. Define the real exchange rate as

$$q_t = e_t \frac{P_t^*}{P_t}, \quad (15)$$

where an increase in q_t denotes a real depreciation. Dutch disease is present when a petroleum rent shock η_t causes

$$\frac{\partial q_t}{\partial \eta_t} < 0, \quad \frac{\partial L_{T,t}}{\partial \eta_t} < 0. \quad (16)$$

Norway's GPFG mitigates this channel by investing petroleum revenues abroad and limiting domestic fiscal absorption. But it cannot eliminate all sectoral specialization: the petroleum supply chain may still attract engineering talent, capital, and political attention away from alternative export sectors.

6 Finance: Converting Oil into a Global Portfolio

The GPFG can be represented as a constrained portfolio problem. Let $w \in \mathbb{R}^K$ be portfolio weights, $\mu \in \mathbb{R}^K$ expected returns, Σ the covariance matrix, and $\lambda > 0$ risk aversion. The canonical mean-variance problem is

$$\max_{w \in \mathbb{R}^K} w' \mu - \frac{\lambda}{2} w' \Sigma w, \quad (17)$$

$$\text{s.t. } \mathbf{1}' w = 1, \quad w \in \mathcal{C}, \quad (18)$$

where $\mathcal{C}$ includes benchmark, liquidity, ethical, ownership, and asset-class constraints.

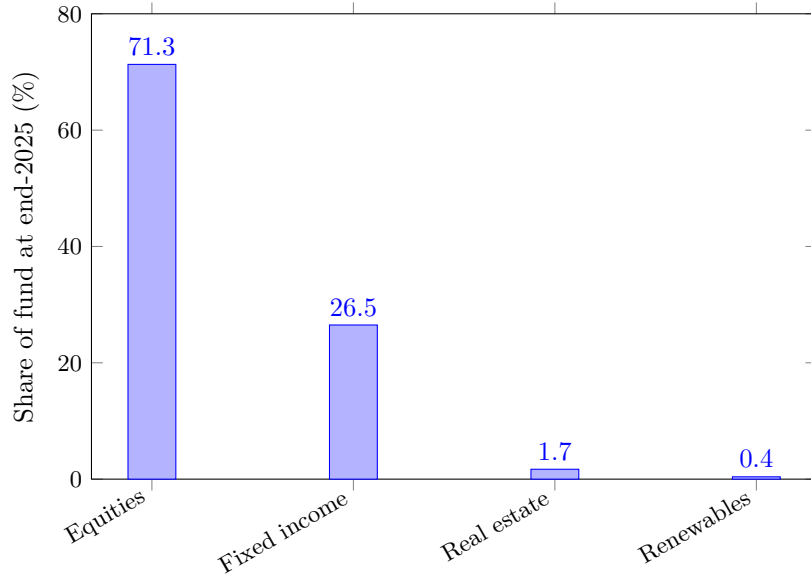


Figure 1: GPFG asset allocation at end-2025. Source values from Norges Bank Investment Management.

The intertemporal policy achievement is that Norway did not merely save oil income. It changed the stochastic process of national wealth. Petroleum wealth is concentrated, geologically finite, and price-sensitive. GPFG wealth is globally diversified, financially liquid, and politically rule-bound. The risk has not disappeared; it has been transformed from geological and commodity-price risk into global financial-market risk.

6.1 A simple risk decomposition

Let national public wealth be

$$A_t = W_t + V_t^O, \quad (19)$$

where V_t^O is the remaining net present value of petroleum in the ground. Then

$$\text{Var}(\Delta A_t) = \text{Var}(\Delta W_t) + \text{Var}(\Delta V_t^O) + 2 \text{Cov}(\Delta W_t, \Delta V_t^O). \quad (20)$$

The investment-abroad principle is desirable when

$$\text{Cov}(\Delta W_t, \Delta V_t^O) < \text{Cov}(\Delta K_t^N, \Delta V_t^O), \quad (21)$$

where K_t^N is domestic capital. The inequality says that a global portfolio is a better hedge for petroleum wealth than reinvesting all rents into the same domestic economy whose wages, exchange rate, and tax base are already exposed to oil and gas.

7 Political Science: Rentierism without Petro-Authoritarianism

The rentier-state mechanism is usually stated as

$$\text{Resource rents} \rightarrow \text{low taxation} \rightarrow \text{weak accountability} \rightarrow \text{authoritarian durability}. \quad (22)$$

Norway interrupts the chain at each link. It had mass democracy, bureaucratic capacity, parliamentary accountability, a high-tax welfare state, and legal-rational administration before the petroleum boom. Let A_t denote accountability and T_t ordinary taxation. A stylized accountability equation is

$$A_t = a_0 + a_1 T_t - a_2 \Pi_t^{\text{offbudget}} + a_3 \mathcal{D}_t + u_t, \quad (23)$$

where $\Pi_t^{\text{offbudget}}$ is opaque off-budget rent and $\mathcal{D}_t$ is disclosure. Norway's institutional design keeps $\Pi_t^{\text{offbudget}}$ low and $\mathcal{D}_t$ high.

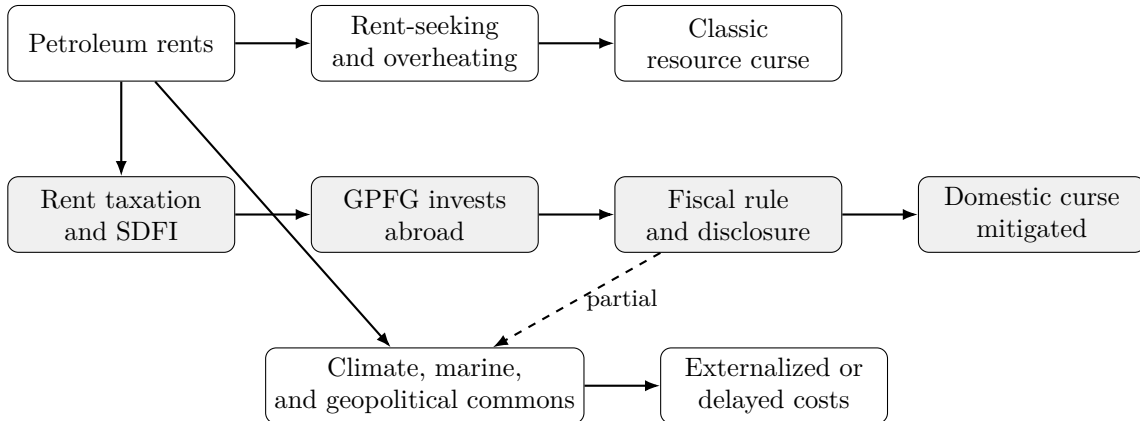


Figure 2: Norway converts the domestic resource curse into a governed fiscal-financial problem, while ecological and geopolitical commons remain only partially internalized.

8 Geopolitics and International Relations

Norway is a small state with a large energy footprint. It is not an EU member, but it is deeply integrated with European energy security. The geopolitical payoff from Norwegian gas exports can be represented as a two-player bargaining game between Norway N and Europe E . Let g be gas supplied, $p(g)$ the price, $s_E(g)$ Europe's security benefit, and $e(g)$ global emissions damage. Norway's national payoff is

$$U_N(g) = p(g)g - C(g) + \phi B_N(g) - \omega_N e(g), \quad (24)$$

while Europe's payoff is

$$U_E(g) = s_E(g) - p(g)g - \omega_E e(g). \quad (25)$$

The global planner's payoff is

$$U_G(g) = U_N(g) + U_E(g) - \omega_R e(g), \quad (26)$$

where ω_R is the residual climate weight assigned to third parties and future generations. If $\omega_R > 0$ and is not represented in bilateral bargaining, then the bilateral optimum has excessive fossil energy relative to the global optimum.

Proposition 3 (Geopolitical externality). *If Norway–Europe bargaining internalizes energy-security benefits but not the full social cost of emissions, the negotiated gas level g^{NE} exceeds the global optimum g^G , all else equal.*

Proof. The bilateral first-order condition maximizes $U_N + U_E$ and therefore sets

$$s'_E(g) + \phi B'_N(g) - C'(g) - (\omega_N + \omega_E)e'(g) = 0. \quad (27)$$

The global planner sets

$$s'_E(g) + \phi B'_N(g) - C'(g) - (\omega_N + \omega_E + \omega_R)e'(g) = 0. \quad (28)$$

Since $e'(g) > 0$ and $\omega_R > 0$, the planner has a lower marginal net benefit from gas. Under concavity, $g^G < g^{NE}$. $\square$

This result clarifies a paradox. Norwegian gas may reduce Europe’s dependence on more geopolitically risky suppliers while simultaneously slowing decarbonization if infrastructure, contracts, or fiscal reliance create lock-in.

9 Commons in Fisheries and Aquaculture

Norway’s marine economy illustrates the institutionalization of commons governance. Open-access fisheries tend toward overcapacity. Regulatory instruments such as total allowable catch, licensing, individual vessel quotas, port-state controls, and monitoring shift the game from unmanaged rivalry to constrained extraction. However, quota systems introduce distributional conflicts: who receives the initial right, whether quotas can be transferred, whether coastal communities lose access, and whether concentration undermines social legitimacy.

Table 2: Commons mechanisms in Norway

Domain	Common-pool problem	Governance instrument	Residual risk
Petroleum	Exhaustible public asset and emissions externality	Licensing, rent taxation, SDFI, GPFG, carbon pricing	Climate costs are global and intergenerational.
Fisheries	Rival fish stocks and race-to-fish incentives	TACs, vessel licences, IVQs, catch controls	Quota concentration, illegal fishing, community distribution.
Aquaculture	Sea lice, waste, escapees, fjord carrying capacity	Site licences, biomass limits, environmental monitoring	Spatial externalities across farms and wild salmon habitats.
Climate	Atmospheric carbon budget	Domestic climate policy, EU-linked carbon markets, fund ethics	Exported combustion emissions are mostly outside Norway’s inventory.
Energy security	European dependence on stable gas supply	Long-term contracts, pipelines, diplomatic alignment	Fossil lock-in and strategic vulnerability.

10 Statistics and Econometric Identification

10.1 Panel design

A first empirical strategy estimates equation (1) using a global panel. But Norway’s high institutional quality creates selection problems. More credible designs use synthetic controls, event studies, and within-Norway sectoral variation.

Let Y_{it} be an outcome such as manufacturing share, real wage growth, regional employment, emissions intensity, or fiscal volatility. Let D_i identify Norway and t_0 the onset of major petroleum revenue. A difference-in-differences design is

$$Y_{it} = \alpha_i + \lambda_t + \beta(D_i \times Post_t) + X'_{it}\theta + \varepsilon_{it}. \quad (29)$$

The identifying assumption is parallel trends:

$$\mathbb{E}[Y_{it}(0) - Y_{is}(0) \mid D_i = 1] = \mathbb{E}[Y_{it}(0) - Y_{is}(0) \mid D_i = 0]. \quad (30)$$

For Norway this assumption is strong. A synthetic-control estimator is more suitable:

$$\hat{\tau}_{Nt} = Y_{Nt} - \sum_{j \in \mathcal{J}} w_j^* Y_{jt}, \quad (31)$$

where

$$w^* = \arg \min_{w_j \geq 0, \sum_j w_j = 1} (X_N - X_0 w)' V (X_N - X_0 w). \quad (32)$$

The donor pool should exclude countries directly affected by North Sea petroleum spillovers or European gas-market integration if the outcome is energy-related.

10.2 Causal graph

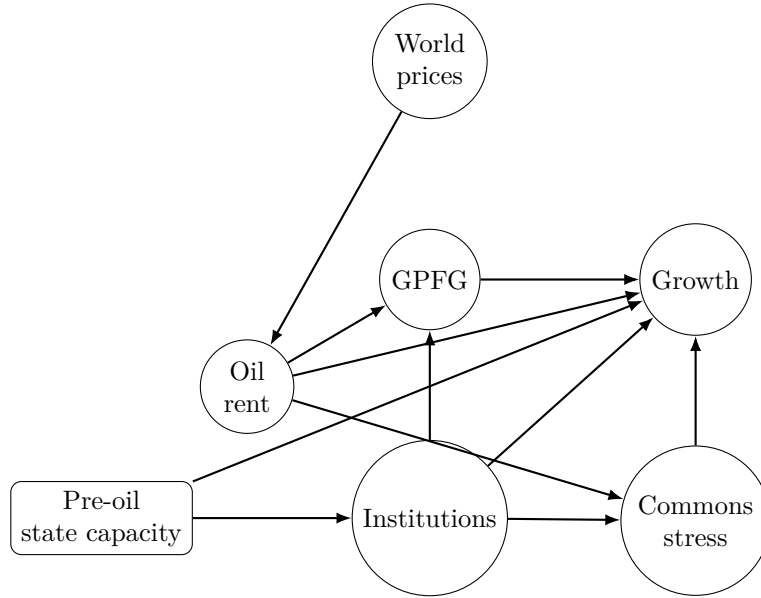


Figure 3: A causal graph for Norway's resource-curse problem. Pre-oil state capacity confounds the relationship between petroleum rents and modern outcomes.

10.3 Double machine learning

Let Y be an outcome, D resource intensity, X confounders, and θ the causal parameter. The partially linear model is

$$Y = \theta D + g(X) + U, \quad \mathbb{E}[U \mid X, D] = 0, \quad (33)$$

$$D = m(X) + V, \quad \mathbb{E}[V \mid X] = 0. \quad (34)$$

Using machine learning estimators $\hat{g}$ and $\hat{m}$, define residuals

$$\tilde{Y}_i = Y_i - \hat{g}(X_i), \quad \tilde{D}_i = D_i - \hat{m}(X_i). \quad (35)$$

Then

$$\hat{\theta}_{DML} = \frac{\sum_i \tilde{D}_i \tilde{Y}_i}{\sum_i \tilde{D}_i^2}. \quad (36)$$

For Norway, useful X variables include pre-oil GDP, education, democracy, bureaucratic capacity, trade openness, population, legal origin, coastline, sectoral composition, and regional exposure to offshore supply chains.

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11 Algorithmic Research Design

The following algorithm describes a reproducible empirical pipeline. It is written without non-standard algorithm packages.

Table 3: Algorithm 1: Diagnosing whether Norway escaped or displaced the resource curse

Step	Operation
1	Construct a country-year panel with outcomes: growth, non-oil tradables share, fiscal volatility, emissions, institutional quality, sovereign wealth, and inequality.
2	Define treatment intensity as petroleum rent share, petroleum export share, or regional employment exposure to the offshore supply chain.
3	Estimate baseline fixed-effects models with interactions between resource intensity and institutional quality.
4	Build a synthetic Norway from pre-oil predictors; compare post-treatment outcomes with placebo countries.
5	Estimate double-machine-learning models to reduce functional-form dependence in high-dimensional controls.
6	Decompose outcomes into domestic fiscal effects, structural diversification effects, and externalized commons effects.
7	Stress-test conclusions under alternative oil-price instruments, donor pools, lag structures, and spillover exclusions.
8	Report whether the estimated effect is curse, mitigation, or displacement: $\hat{\tau} < 0$, $\hat{\tau} \approx 0$, or domestic $\hat{\tau} \geq 0$ with external commons cost > 0 .

12 AI/ML Extensions

AI methods are useful for measurement, not as substitutes for identification. Four applications are especially relevant.

1. **Satellite and remote sensing.** Use computer vision to measure offshore activity, flaring, vessel density, and coastal aquaculture expansion.
2. **Natural language processing.** Construct a petroleum-policy salience index from parliamentary debates, white papers, party manifestos, and media archives.
3. **Causal forests.** Estimate heterogeneous treatment effects of petroleum exposure across municipalities:

$$\tau(x) = \mathbb{E}[Y(1) - Y(0) \mid X = x]. \quad (37)$$

4. **Graph learning.** Model supply-chain dependence as a network $G = (V, E)$, where nodes are firms, regions, sectors, or countries and weighted edges are input-output flows. Systemic exposure can be approximated by eigenvector centrality:

$$c_i = \frac{1}{\lambda} \sum_j A_{ij} c_j. \quad (38)$$

13 A Unified Welfare Model

The domestic Norwegian planner maximizes

$$\max_{\{Q_t, G_t, w_t\}_{t=0}^{\infty}} \mathbb{E}_0 \sum_{t=0}^{\infty} \beta^t [u(C_t) + \chi H_t - \psi E_t - \kappa \Omega_t], \quad (39)$$

where C_t is consumption, H_t public welfare capital, E_t domestic environmental damage, and Ω_t political rent-seeking. The global planner maximizes

$$\max \mathbb{E}_0 \sum_{t=0}^{\infty} \beta^t [u(C_t^N) + u(C_t^R) - \psi_N E_t^N - \psi_R E_t^R - \psi_A A_t^{atm}], \quad (40)$$

where R denotes the rest of the world and A_t^{atm} is atmospheric damage from exported combustion.

Norway solves the domestic problem relatively well. The global problem remains under-solved because no national fiscal rule fully prices the atmospheric consequences of exported hydrocarbons or the biodiversity consequences of marine spatial externalities.

Proposition 4 (Escape versus displacement). *Norway escapes the narrow domestic resource curse if*

$$\frac{\partial W_t^{dom}}{\partial \Pi_t} > 0, \quad \frac{\partial \Omega_t}{\partial \Pi_t} \leq 0, \quad \frac{\partial \sigma(G_t)}{\partial \Pi_t} \leq 0, \quad (41)$$

where W_t^{dom} is domestic welfare, Ω_t rent-seeking, and $\sigma(G_t)$ fiscal volatility. It displaces the curse if, simultaneously,

$$\frac{\partial A_t^{atm}}{\partial \Pi_t} > 0 \quad \text{or} \quad \frac{\partial E_t^{marine}}{\partial \Pi_t} > 0 \quad \text{or} \quad \frac{\partial L_t^{fossil}}{\partial \Pi_t} > 0, \quad (42)$$

where L_t^{fossil} is fossil-infrastructure lock-in.

14 Policy Analysis

Norway's experience implies that the resource curse is not a deterministic geological law. It is a conditional institutional equilibrium. Table 4 organizes the policy mechanisms.

Table 4: Mechanisms of curse mitigation and remaining tensions

Mechanism	Mitigating effect	Remaining tension
Neutral rent taxation	Captures extraordinary rents while preserving efficient investment incentives	Continued extraction can still exceed the climate-consistent path.
SDFI and state ownership	Gives the public a direct claim on resource value	State fiscal interest may bias politics toward continued production.
GPFG	Converts oil rents into diversified global financial claims	Global portfolio still faces climate transition, geopolitical, and ethical risks.
Fiscal rule	Limits overheating and intergenerational dissipation	Political pressure can rise as the fund becomes central to ordinary budgeting.
Transparency and EITI	Lowers information rents and corruption risk	Transparency of revenues does not automatically internalize ecological externalities.
Fisheries quotas	Prevents pure race-to-fish dynamics	Allocative legitimacy and regional distribution remain contested.
Aquaculture regulation	Attempts to price or constrain local environmental load	Spatial externalities are technically complex and politically contested.

15 Discussion

Norway is an exception to the classic resource-curse pattern because petroleum arrived after the consolidation of democratic institutions, high social trust, bureaucratic capacity, and a tax-based welfare state. It therefore had an institutional technology for converting rents into public wealth. This sequencing matters. In weak states, rents may erode institutions; in strong states, institutions may discipline rents.

But the tragedy of the commons is more general than the resource curse. It can survive institutional quality whenever the relevant commons is larger than the jurisdiction that regulates it. Norway can govern its budget, license its continental shelf, and monitor landings in its ports. It cannot unilaterally solve the atmospheric commons, global energy-security dilemmas, or all ecological spillovers from marine industries.

The best interpretation is therefore threefold. First, Norway is evidence against crude resource determinism. Second, it is evidence for institutional theories of resource governance. Third, it is evidence that national success can coexist with global externality displacement.

16 Conclusion

The Norwegian case refines both the resource-curse and commons literatures. Petroleum did not curse Norway in the conventional domestic sense because rents were taxed, saved, disclosed, and politically constrained. The GPFG is not merely a fund; it is a macro-financial commitment device that converts exhaustible resource wealth into a diversified intergenerational asset. Yet Norway's success is incomplete if judged at the scale of the relevant

commons. The atmospheric cost of exported fossil fuels, the ecological pressure of marine industries, and the geopolitical value of gas supply all create incentives for overuse unless externalities are priced at their true social scale.

The final proposition is simple: Norway shows that the resource curse can be institutionally mitigated, but the tragedy of the commons can only be solved when the boundary of governance matches the boundary of harm.

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Glossary

Common-pool resource

A resource that is rival in consumption but costly to exclude users from, such as fisheries, aquifers, or the atmosphere.

Domestic absorption

The share of a resource windfall spent inside the domestic economy rather than saved abroad or sterilized.

Dutch disease

A mechanism through which resource booms appreciate the real exchange rate and draw labor and capital away from non-resource tradables.

EITI

Extractive Industries Transparency Initiative, a global standard for disclosure and accountability in extractive-sector revenues.

Externality

A cost or benefit not fully reflected in the decision-maker's private payoff.

GPFG

Government Pension Fund Global, Norway's sovereign wealth fund that invests petroleum revenues in international financial markets.

Hotelling rule

The condition that the net price of an exhaustible resource should rise at the rate of interest along an efficient extraction path.

Individual Vessel Quota

A quota allocated to a vessel, used to divide a total allowable catch among participants in a fishery.

Neutral tax

A tax that does not change the ranking of investment projects; in rent taxation, it captures surplus without deterring efficient marginal investment.

Resource curse

The empirical tendency for resource-rich countries, especially those with weak institutions, to experience lower growth, weaker accountability, conflict, or rent-seeking.

SDFI

State's Direct Financial Interest, the Norwegian state's direct ownership interests in petroleum licences.

Sovereign wealth fund

A state-owned investment fund, often used to save resource revenues, stabilize budgets, or transfer wealth across generations.

Total allowable catch

A regulatory limit on the total catch of a fish stock over a given period.

Tragedy of the commons

The overuse of a shared resource when individual users do not internalize the full social cost of extraction.

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Appendix A: Testable Hypotheses

Table 5: Empirical hypotheses

Hypothesis	Statement	Expected sign
H1	Resource rents reduce growth in low-institution countries but not in Norway-like high-institution countries.	$\beta < 0, \delta > 0$
H2	Petroleum windfalls increase GPFG wealth more than domestic expenditure.	$\partial W / \partial \Pi > \partial G / \partial \Pi$
H3	Petroleum booms appreciate the real exchange rate less after the fiscal rule than before.	Lower post-rule elasticity
H4	Municipal petroleum exposure raises wages and employment in offshore-linked sectors but may reduce non-oil tradable employment.	Mixed
H5	Marine quota governance reduces overcapacity but increases distributional conflict over quota ownership.	Capacity down; concentration up
H6	Gas-export shocks improve European energy security but raise fossil lock-in unless offset by credible decarbonization.	Security up; lock-in up

The End